

acknowledges this same perspective when he states, “I am trying to stop caring about what my clients think.”

39. Volatility and Risk Are Not Synonymous

Low volatility does not imply low risk and high volatility does not imply high risk. Investments subject to sporadic large risks may exhibit low volatility if a risk event is not present in the existing track record. For example, the strategy of selling out-of-the-money options can exhibit low volatility if there are no large, abrupt price moves, but is at risk of asymptotically increasing losses in the event of a sudden, steep selloff. On the other hand, traders such as Mai will exhibit high volatility because of occasional very large gains—not a factor that most investors would associate with risk or even consider undesirable—but will have strictly curtailed risk because of the asymmetric structure of their trades. So some strategies, such as option selling, can have both low volatility and large, open-ended risk, and some strategies, such as Mai’s, can have both high volatility and constrained risk.

40. It Is a Mistake to Select Managers Based Solely on Past Performance

Greenblatt cites various empirical studies demonstrating that the past performance of managers has no predictive value regarding their future performance. So the single factor that overwhelmingly determines how investors choose their investments—that is, past returns—has no efficacy. Greenblatt advises choosing managers based on their process rather than past returns.